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China Equity Strategy

The AI Theme: Deleveraging as a Healthy Reset

Equity Macro Research

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In our onshore marketing conversations over the past week, client discussions have centered on the China AI ecosystem. Investors broadly agree that the recent pullback has been fueled by deleveraging, but hold diverging views on the longer-term fundamental outlook, particularly the sustainability of AI capex. We disagree with the bubble-soon-to-burst narrative based on three fact checks: **1) Balance sheet health**. Liability-to-asset ratios of both Chinese and global hyperscalers remain at c40%, well below the leverage extremes of prior cycle peaks in China real estate (c100%) and US dot-com bubble (c230%) (Figure 1). **2) Capability frontier still advancing.** Large language model providers continue to push performance boundaries, with Chinese models striving to close the gap on US peers too. We see the upside optionality that technological advancement unlocking new use cases and driving ARR growth (Figure 2). **3) Hardware bottleneck is not going away soon.** Critical AI component capacity constraints are unlikely to be resolved before late 2027–28 at the earliest. The next two quarters are unlikely a validation window (Figure 3-Figure 4). Against a backdrop of near-term liquidity volatility, we recommend staying with large-cap, high-quality AI names, whose aggregate forward P/S multiples and valuation dispersion sit at more reasonable levels following the correction (Figure 5-Figure 6). JPM China AI ecosystem top picks including Zhongji Innolight, Victory Giant-H, JCET-A and Weichai-H in the global supply chain, and NAURA, AMEC-A, Baidu, Zhipu and Iluvatar CoreX as localization plays.

- **Liquidity check: deleveraging in the AI theme is well underway.** The liquidity picture reinforces the healthy-correction thesis. Two indicators stand out: First, turnover velocity has moderated but not capitulated. A-share 5-day rolling turnover has declined meaningfully from its cycle highs of c6.5% yet remains above the trough levels seen at prior bull-market bottoms, consistent with the froth being removed, not institutional investor exit. Second, margin financing deleveraging is already largely complete. Margin trade as a share of total turnover has fallen sharply across the board. Within the IT sector specifically, the ratio has declined from its interim peak of c12% to 8–9%, indicating that the most leveraged segment of the AI trade has already undergone significant force-out. Encouragingly, A-share ETF flows have turned positive since early July, with technology and hardware ETFs leading inflows.

- **Fundamental check #1: hyperscaler leverage ratios remain healthy vs the peak levels we saw in China property or US dot.com bubble.** Both Chinese hyperscalers (Tencent, Alibaba, Baidu) and their US counterparts (Amazon, Alphabet, Microsoft, Meta) show liability-to-asset ratios of c40%, far below the c100% average ratios carried by Chinese property developers at their 2021 peak, and an even smaller fraction of the c230% average leverage sustained by US telecom carriers at the 2001 dot-com bubble. This shows that balance sheets across the AI infrastructure layer remain healthy. From a bond rating perspective, despite recent new issuance driving up the option-adjust spread for select names, the hyperscalers are all rated investment-grade, with US

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hyperscalers ranging from A+ to AAA, and Chinese hyperscalers from BBB+ to A+.

- **Fundamental check #2: LLM capability in progress with demand creation the upside optionality.** Accelerating annual recurring revenue across the AI stack reinforces confidence in upward capex revisions, particularly for the domestic Chinese AI supply chain where order visibility has improved materially. Figure 2 illustrates that both US and Chinese LLMs have been constantly improving their capability over the years, with top Chinese models trying to catch up with the performance levels of leading US models as of mid-2026. Each generation of more capable models unlocks new enterprise and consumer use cases, which in turn drives incremental infrastructure spending. The cycle is not yet constrained by demand saturation, in our view.

- **Fundamental check #3: the hardware supply bottleneck that underpins AI capex urgency is not projected to ease for at least another 18–24 months.** The next two quarters, therefore, do not constitute a validation window for capex sustainability—constraints remain binding, and pricing power persists. As outlined in Figures 3 and 4: Chinese domestic supply ramp-up (Figure 3): Huawei Ascend 960 is expected to launch in 4Q 2027, with CXMT's HBM3E 12-layer stack entering mass production the same year. Huawei's next-generation Ascend 970 and CXMT's 500K wafer-per-month capacity target are not scheduled until 2028, with JCET's 7nm advanced packaging plant also slated for 2H 2028. Global supply ramp-up (Figure 4): TSMC Arizona Fab 2 enters 3nm mass production in 2027, and Micron launches HBM production in the US and Singapore concurrently. SK Hynix's CEO has warned that 2027 will be the worst memory shortage in history. The full-year capacity inflection point—when global HBM supply enters large-scale release and shortages ease—does not arrive until 2028, with TSMC Kumamoto Fab 2 also entering 3nm mass production that year.

- **We maintain our end-2026 base case targets for the MXCN index and CSI-300 at 100 and 5,200, respectively,** with bear-case targets of 80 and 4,000, underpinned by 13% and 24% consensus year-over-year EPS growth projections and broadly supportive liquidity conditions. In the near term, we see the rotation from AI to non-AI may continue in July, supported by the policy speculation ahead of the month-end Politburo meeting and the strong earnings by brokers, insurers and healthcare. **Our top picks in the non-AI fields include Bank of China-H, CICC-H, Innovent, BYD-H and CR Land. China AI ecosystem can reassert leadership in the August earnings season**, outperforming on both 2Q results and 2H guidance, in our view.

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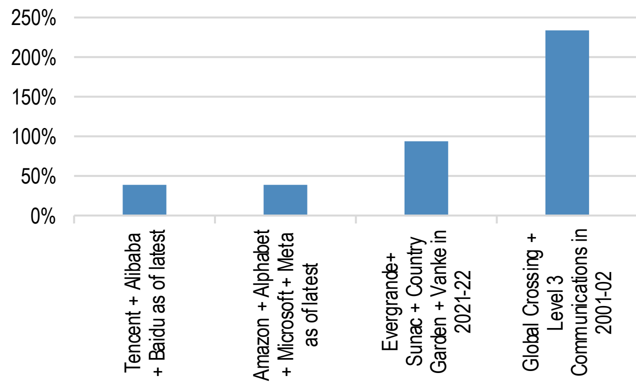
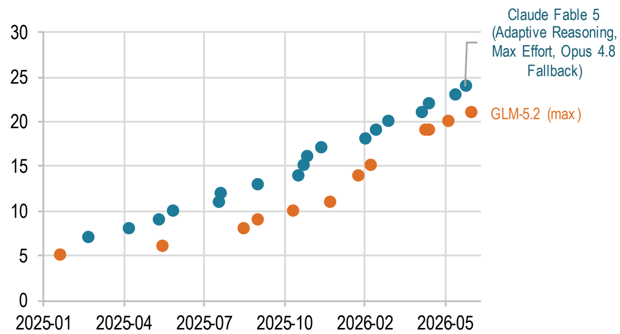
Charts to focus on

Figure 1: Liability-to-asset ratio of Chinese and global hyperscalers as of latest vs select Chinese real estate players and US telecom players in their respective cycle peaks



Source: Bloomberg Finance L.P. (13 Jul 2026)

Figure 2: Chinese LLMs catching up with US peers



Source: J.P. Morgan (15 Jul 2026).

Figure 3: Expected timeline of select Chinese AI companies' production lift

【2027】
└─ Huawei Ascend 960 launch in 4Q
└─ CXMT Shanghai fab enters production, CXMT HBM3E 12-layer stack enters mass production
↓
【2028】
└─ Huawei Ascend 970 launches (3rd-gen Ascend flagship architecture, major performance leap)
└─ CXMT total capacity targets 500k wafers/month
└─ JCET's Rmb7.8bn advanced packaging plant schedule for launch in 2H28

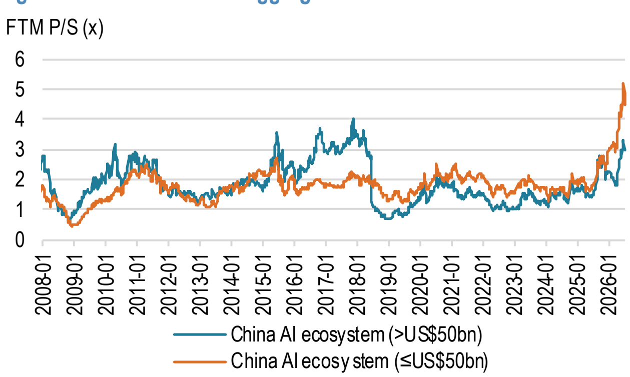
Source: Huawei (18 Sep 2025), Sina (11 Jul 2026), iFeng (6 Jul 2026)

Figure 4: Expected timeline of select global AI companies' production lift

【2H27】
└─ TSMC Arizona Fab 2 enters 3nm mass production
└─ Micron launches HBM production in US & Singapore simultaneously
↓
【2027 Full-Year】
└─ SK Hynix CEO warns: 2027 will be the worst memory shortage in history
↓
【Summer 2028】
└─ Micron's multi-billion-dollar Hiroshima HBM fab officially comes online
↓
【2028 Full-Year Capacity Inflection Point】
└─ TSMC Kumamoto Fab 2 reaches 3nm mass production
└─ Global HBM supply enters large-scale release phase; shortage eases

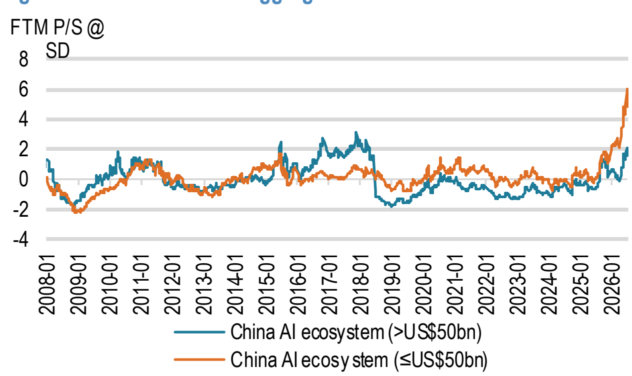
Source: Sina (11 Jul 2026), Sina (20 Apr 2026), Aju Daily (26 Feb 2026), EET China (6 Jul 2026), TrendForce (16 Apr 2026)

Figure 5: China AI names' aggregate FTM P/S



Source: LSEG Workspace (13 Jul 2026). Note: hyperscalers/data centers are excluded

Figure 6: China AI names' aggregate standard deviation of FTM P/S



Source: LSEG Workspace (13 Jul 2026). Note: hyperscalers/data centers are excluded

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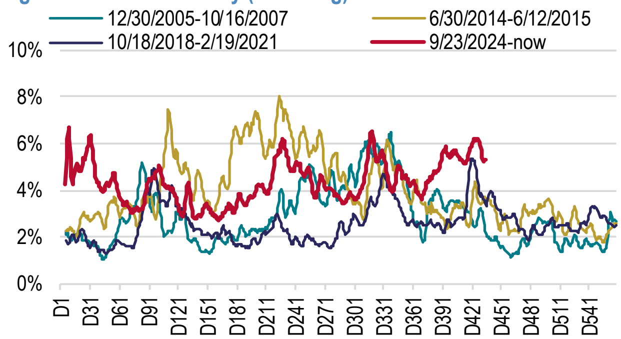
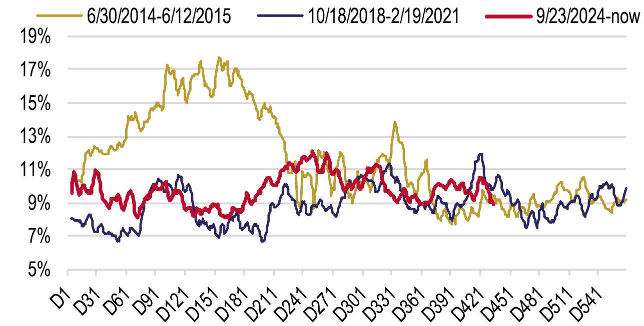
Figure 7: A-share velocity (5d rolling)



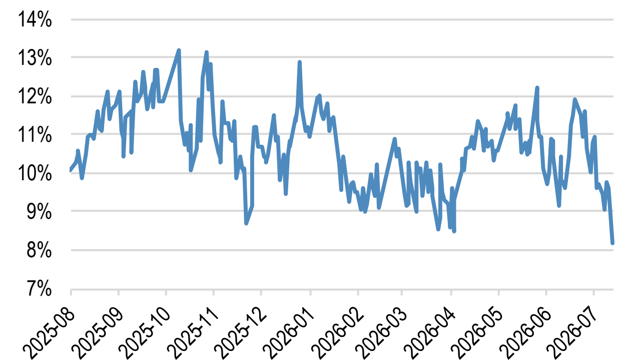
Source: Wind (13 Jul 2026).

Figure 8: A-share margin trade as % of total turnover (5d rolling)



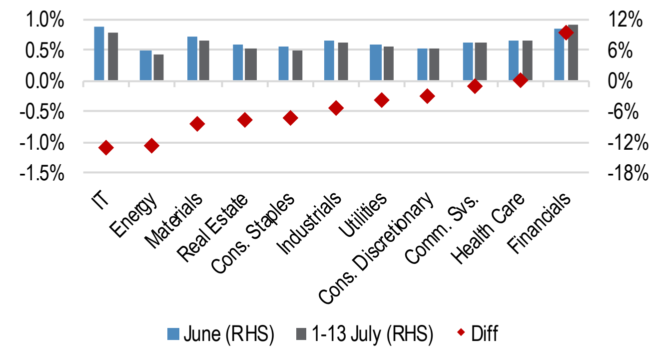
Source: Wind (13 Jul 2026).

Figure 9: A-share IT sector margin trade as % of turnover



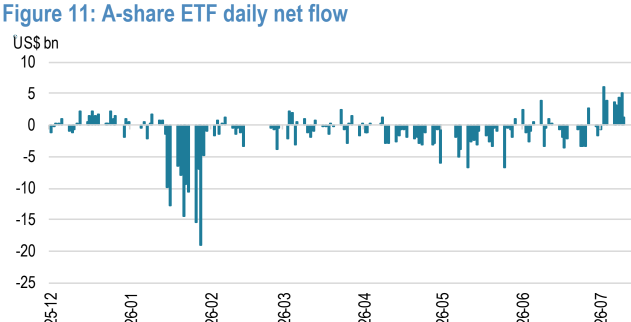
Source: Wind (13 Jul 2026).

Figure 10: A-share margin trade as % of total turnover by sector



Source: Wind (13 Jul 2026).

Figure 11: A-share ETF daily net flow



Source: Wind (13 Jul 2026).

Figure 12: A-share margin trade as % of total turnover (5d rolling)

Inflows in (Rmb bn)	18 Dec 2023 - 9 Feb 2024		19 Feb 2024 - 9 Jan 2026		2Q26		1-13 Jul	
ETFs by benchmark index	Total	Daily Avg	Total	Daily Avg	Total	Daily Avg	Total	Daily Avg
CSI300	254.3	6.7	356.7	0.8	-354.1	-5.9	-17.9	-2.0
SSE50 + A50	35.1	0.9	30.0	0.1	-55.7	-0.9	0.6	0.1
A500	0.0	0.0	204.9	0.4	-59.6	-1.0	8.6	1.0
CSI500	32.5	0.9	31.6	0.1	-62.5	-1.0	12.0	1.3
CSI1000	29.8	0.8	58.0	0.1	-19.5	-0.3	21.5	2.4
CSI2000	6.2	0.2	-5.4	0.0	-0.7	0.0	0.5	0.1
Chinext	24.6	0.6	-15.1	0.0	-28.8	-0.5	8.3	0.9
STAR	9.4	0.2	-71.0	-0.2	-66.7	-1.1	13.1	1.5
Yield	12.2	0.3	60.5	0.1	35.3	0.6	5.6	0.6
Consumers	-2.4	-0.1	33.0	0.1	-4.3	-0.1	0.0	0.0
Semis	-0.4	0.0	-25.4	-0.1	-12.4	-0.2	108.0	12.0
IT hardware	0.0	0.0	0.7	0.0	57.9	1.0	31.6	3.5
Rest	-0.9	0.0	184.2	0.4	-115.3	-1.9	42.4	4.7
TOTAL	**400.3**	**10.5**	**842.6**	**1.8**	**-686.3**	**-11.4**	**234.2**	**26.0**

Source: Wind (13 Jul 2026).

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